EXECUTIVE SUMMARY

A. Introduction

The City of Pasig was once part of the province of Rizal and designated as its capital. In 1975, Pasig was carved out of Rizal province and became part of Metro Manila when the Metro Manila Commission (pre-cursor of Metro Manila Authority and later Metropolitan Manila Development Authority) was created by President Ferdinand Marcos through Presidential Decree (PD) No. 824. In July 1994, Pasig was converted into a highly urbanized City through Republic Act (RA) No. 7829 and in December 1994, President Fidel V. Ramos signed it into law, which was ratified through a plebiscite on January 21, 1995. The City of Pasig has an aggregate area of 3,539.8066 hectares. It ranks 8th in terms of land area (roughly five percent) of the Metropolitan Manila area.

The City of Pasig envisions itself to be the exemplar of participatory good governance where communities enjoy a high quality of life in a competitive and inclusive economy, ecologically-balanced environment, innovative and resilient infrastructure guided by a responsive, transparent and accountable government.

The City of Pasig is under the leadership of Mayor Victor Ma. Regis N. Sotto and is supported by Vice Mayor Robert Vincent Jude B. Jaworski, Jr. and the members of the Sangguniang Panlungsod.

The City has a total of 9,932 personnel complement composed of the following:

Permanent	4,812
Casual	2,508
Contract of Service	106
Contractual	572
Co-terminous	69
Elective	15
Fixed Term	2
HW-Contract of Service	200
Job Order	1,641
Temporary	7
Total	**9,932**

B. Financial Highlights

The City's assets, liabilities and equity for Calendar Year (CY) 2024 were P53.401 billion, P7.705 billion and P45.696 billion, respectively. On the other hand, income collected totaled P17.004 billion, expenses incurred amounted to P12.886 billion while transfers, assistance and subsidy totaled P846.583 million, as summarized hereunder with corresponding figures for CY 2023:

Comparative Financial Position

	2024	2023	Increase/(Decrease)
Assets	P53,116,533,455.85	P53,044,793,525.48	P71,739,930.37
Liabilities	7,420,643,646.48	7,087,659,102.56	332,984,543.92
Government Equity	45,695,889,809.37	45,957,134,422.92	(261,244,613.55)

Results of Operations

	2024	2023	Increase/(Decrease)
Revenue	P17,004,404,316.82	P15,837,740,216.70	P1,166,664,100.12
Expenses	12,885,622,909.74	11,919,120,198.32	966,502,711.42
Transfers, Assistance and Subsidy To	846,580,648.28	893,343,833.97	(46,763,185.69)

Of the total appropriations of P31.061 billion, P13.399 billion was obligated during the year, detailed as follows:

Fund	Appropriations		Obligations	
	CY 2024	CY 2023	CY 2024	CY 2023
Current Appropriation				
General Fund (GF)	P27,329,071,021.21	P19,181,483,308.24	P12,686,486,883.31	P15,041,497,514.78
Special Education Fund (SEF)	1,452,384,328.53	1,637,282,740.42	574,442,707.64	968,461,701.78
Subtotal	**28,781,455,349.74**	**20,818,766,048.66**	**13,260,929,590.95**	**16,009,959,216.56**
Continuing Appropriation				
GF	2,279,118,040.83	3,617,415,141.28	138,022,541.03	-
SEF	-	181,183,644.14	-	20,343,937.62
Subtotal	**2,279,118,040.83**	**3,798,598,785.42**	**138,022,541.03**	**20,343,937.62**
Total	**P31,060,573,390.57**	**P24,617,364,834.08**	**P13,398,952,131.98**	**P16,030,303,154.18**

The total revenue of P17.004 billion collected during the year was sourced from the following:

Particulars	GF	SEF	Total
Tax Revenue	P12,942,012,103.15	P1,114,705,118.35	P14,056,717,221.50
Service and Business Income	2,802,481,382.46	1,383,293.76	2,803,864,676.22
Shares, Grants and Donations	64,628,520.35	-	64,628,520.35
Other Income	79,154,472.99	39,425.76	79,193,898.75
Total	**P15,888,276,478.95**	**P1,116,127,837.87**	**P17,004,404,316.82**

C. Operational Highlights

Enumerated hereunder are the highlights of the reported accomplishments of Pasig City for CY 2024.

Social Development

- Free Hospital Care benefits for Senior Citizens and Indigents - (No Balance Billing in Hospitals)

- Expansion of Student Scholarship:
  - Stipend Allowance
  - Connectivity Allowance
  - Pag-Asa Scholarship Program

- Monthly Allowance for Solo parent - P1,000.00

- Distribution of Fire Trucks to Barangays

- Other Social Services
  - Providing Assistance to Homeowners Association (HOAs)
  - Caskets and Funeral Services for Indigent Families
  - Capacity Building with Barangays and HOAs

- Batang Pinoy 2024's National Championship Overall Best Performing Local Government Unit and Place Finish in 8th Philippine National Para Games

Economic Development

- GSIS - Awardee of "Gold Seal of Protection" for 2 consecutive years (2023 and 2024)

- Ordinance Banning/Prohibiting Philippine Offshore Gaming Operators in the City.

- Green Banner Seal of Compliance Award by National Nutrition Council-National Caiptal Region

- Regional Director's Special Awardee by the World Health Organization

Environment Development

- Go-Bag distribution

- Provision of Mobile Materials Recovery Facility (MRF) for Barangays without identified MRF

- Establishment of the Innovation for Circular Economy Hub

Institutional Development

- Mass Regularization Program of City Employees (More Permanent Employees than Contractual Workers)

- On-going cleansing of the PPE Accounts - Office of the General Services (OGS)

- Updating of Accounting Records - City Accounting Office (CAO)

- Digitalization of tax maps of the City Assessor's Office (CAsO)

Infrastructure Development

- Construction of New Pasig City Hall

- Pabahay Program - Construction of two Residential Buildings. For Informal Settler Families (Vulnerable to Disasters) Residence of Pasig and for (Homeless) - Land for the Landless

- Street lightings Projects

- Road Improvements
- Repairs & Improvement of Hospitals & Schools
- Construction of Local Disaster Risk Reduction and Management Office Building
- Improvement of Maybunga Rainforest Park

D. Scope and Objectives of Audit

The audit covered the accounts and operations of the City of Pasig for the period January to December 31, 2024. The objectives of the audit are to: (a) be able to lend credence to Management's assertions on the financial statements; (b) recommend agency improvement opportunities; (c) determine compliance with existing laws, rules and regulations; and (d) determine the extent of implementation of prior years' audit recommendations.

E. Auditor's Opinion on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the Financial Statements due to the deficiencies noted in audit that materially affected the balances/totals of certain accounts, which are discussed in detail in Part II of the report and summarized as follows:

1. The balances of Property, Plant and Equipment (PPE) accounts amounting to P44.826 billion as of December 31, 2024, could not be ascertained due to: (a) unreconciled balances between the accounting and property records amounting to P988.584 million; (b) discrepancies in balances across the accounting records; (c) discrepancies in balances between Office of the General Services' (OGS) records amounting to P536.490 million; (d) lacking proper details of PPE items; (e) PPE items recorded in the books but not included in the Report on the Physical Count of Property, Plant and Equipment (RPCPPE) aggregating P141.133 million; (f) PPE items recorded in RPCPPE but are not recorded in the books in the total amount of P445.082 million; and (g) delayed recognition of PPE items ranging from 30 to 2,744 days; contrary to the provisions of Sections 119, 120 and 124, Chapter 7 of the Manual on New Government Accounting System (MNGAS) for Local Government Units (LGUs), Volume I, Section 491 of the Government Accounting and Auditing Manual (GAAM), Volume I, Section 111 (1) of Presidential Decree (PD) No. 1445, and other related COA Circulars. Hence, casting doubt on the reliability, validity, accuracy and completeness of PPE balances presented in the financial statements.

   We recommended that Management direct:

   a. The CAO to –

      - Require the persons in charge of recording the PPE in the Subsidiary Ledgers, Property, Plant and Equipment Ledger Card, and Lapsing Schedule (LS) to coordinate with each other and reconcile their records;

- Provide complete and adequate details of PPE in the LS;
- Timely recognize PPEs in the books; and
- Prepare the necessary adjusting journal entries.

b. The OGS to –

- Completely include PPE items with Property Cards to the RPCPPE; and
- Regularly submit the Acceptance and Inspection Report (AIR) together with its supporting documents to CAO for the timely recognition of PPEs.

c. CAO and OGS to –

- Coordinate with one another to eliminate the discrepancies identified between the accounting and property records; and
- Strictly follow the procedures prescribed in COA Circular No. 2020-006 for the one-time cleansing of the PPE account balances.

2. The balances of Construction in Progress (CIP) accounts of P1.267 billion as of December 31, 2024 were unreliable due to: (a) inclusion of completed projects amounting to P327.972 million; (b) inclusion of in progress projects in the List of On-Going and Completed Infrastructure Projects (LOCIP) that are not recorded in the books amounting to P161.122 million; and (c) in progress projects recorded in the books but not on LOCIP costing P619.132 million. Hence, not in accordance with the MNGAS for LGUs.

We recommended that Management direct:

a. The City Engineering Office (CEO) to –

- Submit promptly the LOCIP as well as the Certificate of Completion (COC) and other supporting documents to the Auditor and to CAO for review and proper monitoring of the progress of the City's infrastructure projects; and
- Strictly monitor the status and progress of infrastructure projects to minimize/avoid further delay in completion thereof.

b. The CAO to prepare the necessary adjusting journal entries to reclassify the total costs of completed projects from CIP accounts to the appropriate asset accounts based on the COC submitted by the CEO; and

c. CEO and CAO to properly reconcile the accounting records with the LOCIP.

3. The reported balance of Inventory accounts as of December 31, 2024 totaling P1.140 billion could not be ascertained due to the: (a) unspecified dates of issuances on Summary of Supplies and Materials Issued (SSMI), and Requisition and Issue Slip (RIS); and (b) presence of dormant/unconsumed inventories in the Supplies Ledger Card (SLC),

contrary with the pertinent provisions of the MNGAS for LGUs, thereby, affecting the fair presentation of the financial statements as at year-end.

We recommended that the Management instruct:

a. The OGS to submit to the CAO the SSMI together with the RIS bearing complete details according to the instruction provided in Annexes 35 and 33 of the MNGAS for LGUs, respectively, for the proper and timely recording of issuances of inventories; and

b. The CAO to review the SLCs for inventory accounts with dormant/non-moving items, coordinate with the OGS whether these items are already consumed/issued, and effect the appropriate adjustments, if necessary.

4. The reported balance of the Cash in Bank (CIB) – Local Currency Account (LCA), comprised of Current, Savings and Time Deposits (TD) accounts, totaling P26.060 billion as of December 31, 2024, and the related income, expense, liability and equity accounts were unreliable due to unrecorded book reconciling items amounting to P1.102 million composed of the net effect of debit and credit memos, PhilHealth receipts, collections through debit/credit card and online payment, and disbursements without supporting documents, contrary to Sections 111 and 112 of PD No. 1445, COA Circular No. 96-011 and Paragraph 27 of International Public Sector Accounting Standards (IPSAS) 1.

   We recommended that Management instruct the CAO to make the necessary adjusting journal entries for book reconciling items after preparing the BRS to reflect the accurate balances of Cash in Bank – Local Currency, including Current, Savings, and TD accounts.

5. The year-end balance of Accounts Payable (AP) amounting to P2.919 billion was doubtful due to: (a) inclusion of erroneous entries amounting to P629.295 million; and (b) presence of long outstanding balances for more than two years amounting to P62.539 million, which are not in accordance with COA Circular No. 2015-009 dated December 01, 2015; Section 98 of PD No.1445; and Sections 3.1 and 3.3 of Department of Budget and Management - COA Joint Circular No. 99-6 dated November 13, 1999 thus, affecting the fair presentation of payable accounts in the financial statements.

   We recommended that Management instruct the City Accountant to –

   a. Conduct a detailed analysis of the AP account and reclassify any amounts that were incorrectly classified to Other Payable or to their appropriate liability accounts, to ensure the accurate presentation of liabilities in the financial statements; and

   b. Determine whether the dormant payables amounting to P62,538,500.92 represent valid and enforceable obligations of the City, thereafter, initiate the reversion of the said amount to the unappropriated surplus of the GF.

F. Significant Audit Observations and Recommendations

1. The reported carrying balance of PPE could not be fully relied upon due to: (a) inconsistent reporting of Accumulated Depreciation (AD) in the SL and LS resulting in a discrepancy of P1.794 billion; and (b) erroneous recognition of depreciation amounting to P2.510 billion which resulted to overstatement of AD and Depreciation Expense, and understating Government Equity and PPE accounts as of the end of CY 2024 hence, not in accordance with the Philippine Application Guidance (PAG) 6, Paragraph 88 of IPSAS 17.

   We recommended that the Management instruct the CAO to:

   a. Properly reconcile their accounting records (GF and SEF) to correct/eliminate the discrepancies as identified;

   b. Conduct a comprehensive review of the calculation of depreciation of PPEs;

   c. Ensure that the residual value as prescribed is properly applied and not reinstated in the computation of depreciation; and

   d. Effect the necessary adjustments so that the depreciation of the PPE strictly complies with PAG 6, Paragraph 88 of IPSAS 17.

2. Donated Inventories received from Department of Health (DOH) amounting to P37.005 million, were not properly recorded in the books, and issuances thereof were not fully accounted for, which is not in compliance with Paragraph 27 of IPSAS 1, Sections 145 and 146 of COA Circular No. 92-386, and Sections 120 and 121, Chapter 7, of the MNGAS for LGUs Volume I, thereby resulting in the understatement of the inventory and related expense accounts.

   We recommended that the Management instruct:

   a. The OGS to –

      - Closely coordinate with the warehouse keepers regarding the acceptance of donated inventories from DOH and other donors, if any;

      - Ensure coordinate with the warehouse keepers regarding the acceptance of donated inventories from DOH and other donors, if any;

      - Regularly submit the Property Transfer Report (PTR), AIR and SSMI together with their supporting documents to the CAO for the timely recording of the receipt and issuances of the inventories in the books; and

      - Include the unissued donated inventories on the Report on the Physical Count of Inventories, if any.

   b. The CAO to update the books to reflect the receipt and issuance of donated items, upon receipt of the PTR, AIR and SSMI submitted by the OGS; and

c. The City Health Department to regularly and timely notify OGS of the receipt of the donated inventories.

3. The year-end balances of the accounts Real Property Tax (RPT) and Special Education Tax (SET) Receivables, and the corresponding Deferred RPT and SET accounts, amounting to P210.319 million and P102.997 million, respectively, were doubtful due to discrepancy of 175,688 taxable Real Property Units (RPUs) subject to tax assessment per Assessment Roll (AR) and Summary of Receivables, both generated by the Real Property Assessment System (RPAS), as basis in establishing the RPT/SET Receivables at the beginning of the year contrary to Section 248 of RA No. 7160 and Section 20 of the MNGAS for LGUs, resulting in (estimated) unrecognized RPT and SET Receivables and the corresponding Deferred RPT and SET accounts amounting of P899.515 million and P599.676 million, respectively.

   We recommended that Management direct the –

   a. Management Information Systems Office (MISO) to:

      - Establish the reliability of the reports generated by the RPAS by providing accurate data reflected in the AR and Summary of Receivables as to the total number of RPUs in the City; and

      - Coordinate with the end users of the RPAS to determine the reasons of contradicting data between the report generated by the CTO and the CAsO, and reconcile the same.

   b. CAsO to:

      - Submit the AR, in soft or hard copy, on or before the 31st day of December each year which will served as the basis by the CTO in preparing the duly certified list of taxpayer; and

      - Reconcile the RPUs reflected in the summarized AR and the Summary of Receivables.

   c. CTO to:

      - Prepare the duly certified list of taxpayer and Summary of Receivables based on the AR submitted by the CAsO, copy furnished the CAO; and

      - In coordination with CAsO and MISO, provide details of current year's receivables. Determine whether the "prior years' delinquencies" RPUs were included or excluded in the "current year's receivables" to establish the correct receivables at the beginning of the year.

The above observations and recommendations were discussed with the Management officials during the Exit Conference on May 21, 2025. The Management's views and comments, and the Auditor's rejoinder, if any, were incorporated in the Report, where appropriate.

G. Summary of Audit Suspensions, Disallowances and Charges

As at December 31, 2024, the outstanding audit disallowances of the City amounted to P46,893,495.45 while no audit suspensions and charges were issued during the year.

H. Status of Implementation of Prior Years' Audit Recommendations

Of the 54 audit recommendations contained in the previous year's Annual Audit Report, 40 or 74.07 percent were implemented, and 14 or 25.93 percent were not implemented during the year.